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NEWSLETTERS • WSJ CHINA

A Demographic Mirage May Be Distorting China's Economic Ambitions

Plus, Beijing's tepid recovery efforts, falling government bond yields and why China resists joining the developed world



By Lingling Wei

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Children held Chinese and American flags during a May welcome ceremony for President Trump hosted by Chinese leader Xi Jinping in Beijing. MAXIM SHEMETOV/POOL/ASSOCIATED PRESS

Chinese leaders like to project confidence. For the past few years, Xi Jinping has been beating the drum that "the East is rising and the West is in decline," a judgment rooted in the conviction that China's vast population would deliver more workers, more consumers and an economy that would inevitably overtake America's.

But a new study is calling into question the very demographic data underpinning that conviction.

A monograph by Yi Fuxian, a University of Wisconsin-Madison demographer and longtime critic of China's population policies, argues that

China's actual population may be closer to 1.27 billion—not the 1.4 billion officially reported. The gap would be as much as 130 million people, roughly the population of Mexico. And Yi argues the distortion has warped strategic thinking in both China and the U.S., feeding overconfidence in Beijing and anxiety in Washington.

To make his case, Yi points to evidence in the country's health and education records. Every newborn in China is required to receive a BCG tuberculosis vaccine within 24 hours of birth. Because multi-dose vials must be discarded 30 minutes after opening, each vial yields only about 1.2 to 1.6 usable doses in practice. Between 2018 and 2020, he noted, the government approved roughly 5.8 million vials a year. Yet official statistics claimed more than 14 million births annually. That would mean each vial somehow vaccinated 2.4 babies, which Yi said would be medically and practically impossible nationwide.

Yi also points to discrepancies in the reported size of individual birth cohorts. For instance, the National Bureau of Statistics said 17.7 million babies were born in 2000. But when that cohort reached age 10 in the 2010 census, only about 14.4 million were counted. By the time they graduated middle school in 2015, only about 14.2 million walked across the stage. About 3.5 million people from a single year were unaccounted for.

Yi said he cross-checks census records against school enrollments, hospital births, vaccine batches and household registrations. The picture that emerges, in his analysis, is a pattern of systematic inflation across multiple data sources.

In explaining the gap, Yi describes what he calls a contamination cycle: Census figures were adjusted upward using education and household registration data that had themselves been exaggerated. Schools padded enrollment by 20% to 50% once funding shifted from local governments to the central government. Hospital birth records swelled after rural insurance began covering deliveries.

The politics of population

Today, with Beijing tying birthrates to local officials' performance reviews and rolling out pro-natal subsidies, local governments have every incentive to overstate the numbers, Yi said, both to win political credit and to secure subsidy funds.

"Raising the fertility rate is hard," he said. "Revising the statistics is easy."

The economic consequences of China's demographic decline are already visible. As I wrote last week, China's growth model is cracking under the weight of weak demand and mounting debt. Yi's work suggests the demographic headwinds may be even stronger than official figures indicate.

But the implications extend beyond economics. Yi traces a direct line from overstated population figures to China's geopolitical posture. Some state-linked economists, working from population and growth numbers that Yi considers overstated, projected China's economy would grow to two or three times the size of America's. Those projections helped bolster confidence in Beijing, Yi said, and may have reinforced Xi's belief that China would eventually surpass the U.S.

On the American side, he argued, the same inflated projections fueled warnings that China's overtaking was inevitable, fueling a Washington consensus built partly on what he calls a statistical mirage.

What makes this study noteworthy is that Yi's forecasts over two decades have tracked closer to reality than China's establishment demographers.

China's fertility rate has now fallen below 1.0, meaning the average woman in the country is having fewer than one child. Household consumption is stuck at 39% of GDP, well below the 60% global norm. The consumption-led rebalancing that Beijing says it wants may not just be a matter of will. If Yi is right about the numbers, a smaller population than officially reported would mean a smaller consumer base than policymakers assume to power the shift.

Beijing's governing philosophy says the economic base determines everything above it. The trouble is what's eroding below.

If China's population is significantly smaller than reported, what does that mean for companies and investors betting on the Chinese consumer? Write to me at lingling.wei@wsj.com. Include your full name and location, and I might publish your response in an upcoming issue (if you're reading this in your inbox, you can just hit reply).

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China in a Few Headlines

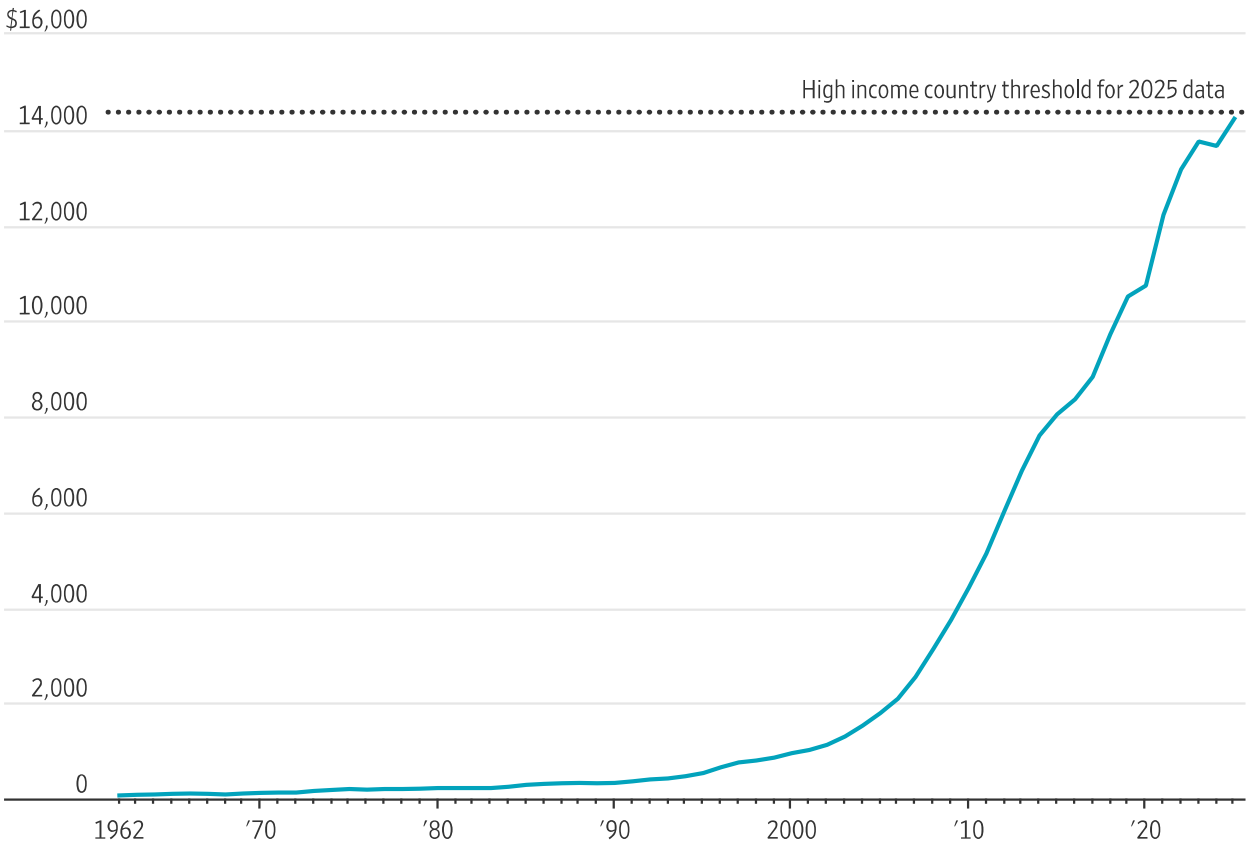
- Beijing pursues big technological advances while shunning painful policy measures needed to fix the broader economy.
- Chinese academics and media laid the groundwork for Beijing to claim the Batanes Islands, where U.S. troops frequently train
- China and the EU reached an understanding on China's hybrid vehicle exports and progressed in trade talks, calming fears of a trade war.
- Hackers used a Chinese artificial-intelligence agent to attack South Korea's biggest banks.

The Number

That was the yield on China's benchmark 10-year bond last week, reflecting a shortage of investment opportunities for the country's huge hoard of savings amid a multiyear property slump.

A Closer Look

China's gross national income per capita



Note: Each year's income is measured in current U.S. dollars using the Atlas methodology.
Source: World Bank

China is likely to reach the World Bank's high-income category for 2026. But Beijing would rather not be grouped with the world's wealthy nations.

Reader Responses

Last week, we asked whether external pressure—tariffs and other trade restrictions—will force Beijing to reform, or just entrench the current model. Readers shared their thoughts:

"The record so far suggests tariffs redirect China's trade far more than they reform its model. Since the 2018 and 2019 tariff rounds, China's share of U.S. imports has fallen from about 21.6% to 13.4% in 2024, per New York Fed analysis. Yet China's overall trade surplus kept climbing: $992 billion in 2024 and a record $1.19 trillion in 2025, as exports to Southeast Asia, Africa and Europe more than offset weaker U.S. sales. Imports stayed flat, which is

the clearest sign that domestic consumption, the heart of any real rebalancing, hasn't moved."—*Zachary Soliman, U.K.*

"The idea of 'external' forces moving Beijing in any direction sounds completely antithetical. As with Taiwan, Beijing is deeply unwilling to appear susceptible to outside pressure in any capacity; both for the leverage that gives other countries and the risk of losing face. That's a fundamental reason why Beijing maintains a steady hand in response to any action taken by the U.S. or otherwise, and also why tariffs have yielded so little policy change in the past. For Xi, everything is an exercise and display of control."—*Cynthea Wang, North Carolina*

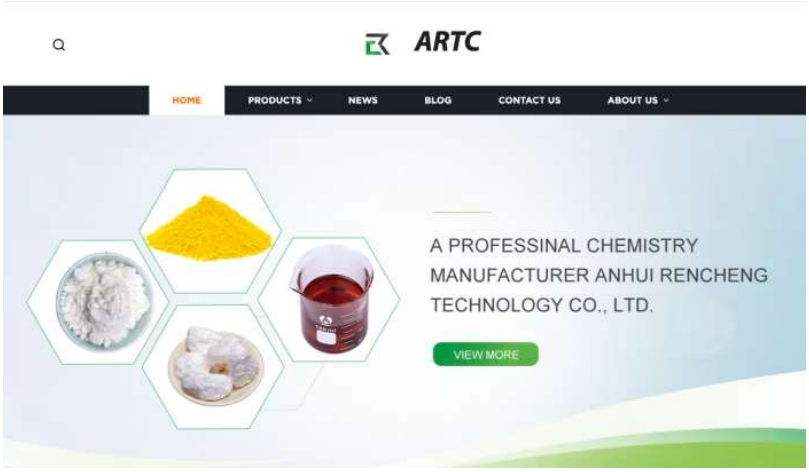
"I continue to be puzzled by those who apply Western-style economic thought to countries like China. Tariffs and trade restrictions don't dissuade dictators because the ruler and his inner circle are not affected by those measures. The economic effect of such policies on China's population becomes fuel for the propaganda machine that seeks to justify the regime's policies."—*Steven O'Hern, Kansas*

"I believe a changing global landscape will ultimately prompt Beijing to adapt. Unlike China's stance on issues such as national security and sovereignty, which prioritizes strict state control and noninterference, its economic policy is historically flexible. The interdependent nature of China's export-heavy sectors makes it necessary to balance domestic interests with global integration."—*Chen Hei Yin, Hong Kong*

"External pressure wouldn't change Beijing's course, but domestic forces might. The end of zero-Covid policy in December 2022 following White Paper protests offers some idea. A persistent decline in housing prices would be painful due to substantial negative wealth effects. People in Japan suffered a lot despite relentless government support that pushed public debt from 60% to 250% of GDP. The consequences could be more severe in China, given its limited social safety net and the absence of serious fiscal support."—*Hiroshi Utsumi, Japan*

(Responses have been condensed and edited.)

A Name in the News



The Anhui Rencheng website. UNCREDITED

Chinese chemical firm Anhui Rencheng, indicted in 2023 for supplying fentanyl precursors, is among a growing number of Chinese manufacturers pivoting to sell unregulated weight-loss and cosmetic peptides to U.S. buyers.

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Further Reading